Policy FAQs

After I have met the Basic Healthcare Sum, why do the excess MediSave Account savings overflow to my Special Account or Retirement Account instead of my Ordinary Account?

The CPF system is designed to help you save for your basic retirement needs. Hence, MediSave contributions in excess of the Basic Healthcare Sum are first transferred to your Special Account (SA) or Retirement Account (RA) to help you set aside your Full Retirement Sum (FRS) in cash. This will boost your monthly retirement payouts.

Once you have set aside the FRS, excess MediSave contributions will be transferred to your Ordinary Account (OA). You will have the flexibility to tap on these OA savings for housing payments. SA and OA savings above your FRS can be withdrawn in a lump sum from age 55.

This helps to achieve a balance between maintaining sufficient funds for basic subsidised healthcare needs, and ensuring adequate savings for retirement needs.

Did you know? If you are aged 55 and above and wish to earn higher interest and boost your monthly retirement payouts, you can transfer your OA savings to your RA, up to the current Enhanced Retirement Sum.